reportedly discussed with industry representatives possible measures the government could take to help absorb other costs of production, such as by subsidizing electricity (i.e., providing uninterrupted electricity from 0600 to 1800) and subsidizing taxes on diesel fuel. (Note: many factories, for lack of outside electricity, are forced to provide their own using diesel generators. End note.) It is unclear whether these measures would be offered if the phased-in wage increases were enacted into law. End note)

4. (C) A majority of Haitian private sector representatives support enactment of the law in October, based on reports that wages in the Dominican Republic and Nicaragua (competitors in the garment industry) will increase also. ADIH member and factory owner Clifford Apaid told Econ/Poloff June 8 that Haitian Chamber of Commerce President Reginald Boulos said he supports immediate implementation of the wage increase to HTG 200 for the commercial and industrial sectors and a phased-in increase for the textile sector. Some members of the commercial and non-textile industrial sectors, such as Bernard Fils-Aime, part-owner of telecommunications company Voila, and Ricky Hicks, owner of Haitian-American tobacco company Comme Il Faut, welcome the minimum wage increase and stated that their companies already pay wages above that proposed in the bill. Sassine told Econ/Poloff that textile sector wages make up more than fifty percent of factory costs, whereas wages in the commercial and local industry sectors represent an average of twelve percent.

5. (SBU) Preval's proposed modifications can be rejected by Parliament. If Preval returns the bill on June 17 or 18, the Chamber of Deputies would be able to examine his proposal on June 23. HOPE Commission member Lionel Delatour told Econ/Poloff that the worst case scenario is that Parliament returns the original bill unchanged to the President for signature. Delatour predicts that there is a less than 15 percent chance that this would happen. Although a prospective compromise was brokered between the President and members of Parliament (including bill sponsor Deputy Steven Benoit), Benoit's public criticism of Preval's decision continues, and Benoit is adamant that the HTG 200 per day be applied to both the commercial and industrial sectors – including the textile industry. Senate President Kely Bastien told the press on June 17 that the opinions of the Parliamentarians who met with Preval should not be interpreted as representative of the entire body. Therefore, Preval should not assume that his decision represents a compromise with Parliament as a whole.

6. (C) Comment: Preval's proposed compromise on the minimum wage appears to be acceptable to the textile sector. Recent statements by some members of Parliament, however, may portend a rancorous debate on the issue if and when it comes back to them for amendment. Students continue to demonstrate – sometimes peacefully, sometimes not – for an increase in the minimum wage and its